

Let us now turn our attention to the role of information. The information we require speaks to the subject of this chapter—patience—and the value of a “slow-traveling idea.”

Many readers may not know Jack Treynor. But he is an intellectual giant in the field of financial management. First trained as a mathematician at Haverford College, he graduated with distinction from Harvard Business School in 1955 and began his career in the research department at Arthur D. Little, a consulting firm. As a young analyst, Treynor generated 44 pages of mathematical notes on the issue of risk while on a three-week vacation in Colorado. A prolific writer, he eventually became editor of CFA Institute’s *Financial Analysts Journal*.

Over the years, Treynor swapped papers with many of the leading finance academicians, including Nobel laureates Franco Modigliani, Merton Miller, and William Sharpe. A number of Treynor’s articles won prestigious awards, including the *Financial Analysts Journal*’s Graham and Dodd Award and the Roger F. Murray Prize. In 2007, he won the prestigious CFA Institute Award for Professional Excellence. Fortunately, Treynor’s writings, which were once loosely noted, are now available in a 574-page volume titled *Treynor on Institutional Investing*. It deserves a place on every serious investor’s bookshelf.

My copy is a bit dog-eared and tired looking, because several times a year I reread my favorite parts. Tucked near the back, on page 424, is my favorite article—“Long-Term Investing.” It first appeared in the May–June 1976 issue of the *Financial Analysts Journal*. Treynor begins by talking about the ever-present puzzle of market efficiency. Is it true, he wondered, that no matter how hard we try we’ll never be able to find an idea that the market hasn’t already discounted? To address the question, Treynor asks us to distinguish between “two kinds of investment ideas: (a) those whose implications are straightforward and obvious, take relatively little special expertise to evaluate, and consequently travel quickly and (b) those that require reflection, judgment, and special expertise for their evaluation, and consequently travel slowly.”⁵

“If the market is inefficient,” he concludes, “it will not be inefficient with respect to the first kind of idea, since by definition the first kind is unlikely to be misevaluated by the great mass of investors.”⁶ To say this another way,